



**UNIVERSITÉ
DE GENÈVE**

GENEVA SCHOOL OF ECONOMICS
AND MANAGEMENT

Project: Business as a Force of Good-Case Study on
Lombard Odier

Course: Organizational Responsibility

Professor Déborah Philippe

Date: 15/01/2025

Group Members:

Matthias Ciers

Rajendra Laxmi Dhamala

Sorina-Ioana Matthey-de-l'Endroit

Egide Niyonkuru

Lidan Wei

Table of Content

Introduction.....	3
Description.....	3
Industry	3
Company.....	4
Business as a Force for Good	4
Analysis & Evaluation.....	5
Integration of B Impact Assessment.....	5
The CLIC Framework.....	5
Partnership with the University of Oxford	6
Impact of Investment Decisions	6
Integrating Sustainability Factors	6
UN Principles for Responsible Banking.....	7
Governing Structure Focused on Sustainability	9
Sustainable Investment Strategies	10
Communication, reporting and media engagement	10
Media Criticism and Response	11
Conclusion & Recommendations	13
Future outlook for Lombard Odier and the industry	12
Annex.....	13

I. Introduction

As one of the oldest private banks in Switzerland, Lombard Odier has been customer-centric and committed to creating positive social impact since its establishment in 1796. This report focuses on Lombard Odier's core strategic documents, public reports and media comments on corporate sustainability. Combining theoretical frameworks with industry best practices, it evaluates its performance in transparency, governance structure, portfolio management and other aspect. At the same time, the report critically evaluates Lombard Odier's limitations in transparency, diversity management, and handling of controversial assets in its portfolio, and puts forward suggestions for optimizing its governance structure and sustainable development strategy.

II. Description

i. Industry

The asset management and private banking sectors are pivotal in global finance, managing trillions of dollars in assets for institutions and high-net-worth individuals. Asset management focuses on creating value through investments across diverse asset classes, while private banking provides personalized financial services, including wealth preservation, estate planning, and sustainable investment options. Together, these industries play a critical role in capital allocation, shaping economic trends and advancing sustainability goals.¹

The sectors face significant environmental challenges, including aligning portfolios with net-zero emissions targets, addressing climate change and biodiversity loss, and adhering to stringent regulations like the EU's Taxonomy Regulation and Scope 3 emissions reporting. These efforts are essential yet hindered by inconsistent data and evolving standards.²

On the social front, ensuring investments respect human rights and labour standards, particularly across complex global supply chains, remains a pressing issue. Regulatory measures such as the EU's Sustainable Finance Disclosure Regulation (SFDR) demand heightened accountability from institutions.³

In private banking, affluent clients increasingly prioritize ESG-aligned portfolios, making sustainability a core service. However, the industry faces growing scrutiny over greenwashing, where exaggerated or false claims of sustainability undermine trust. Greenwashing is more dangerous in this sector because institutions can easily make misleading sustainability claims about complex investment portfolios, where environmental impact is largely invisible. Transparent and accountable practices are critical to maintaining credibility and achieving meaningful impact.⁴

ii. Company

Lombard Odier is one of the oldest and largest private banks in Switzerland. Founded in 1796 and headquartered in Geneva, it's a wealth and asset management company that has remained family-owned for seven generations. The bank has a profoundly rich history and contributed to the founding of the Geneva Stock Exchange and the Swiss National Bank.⁵

Lombard's website states the following quote: “Our heritage is Swiss, yet our outlook and mindset are resolutely international.”⁶ With over 25 offices globally, they can serve clients all over the world. For over 225 years and through more than 40 financial crises, the Group has aligned itself with the long-term interests of private and institutional clients. It has a strong balance sheet with a CET1 ratio of 31,7% and a Fitch rating of AA-, the highest possible rating for a bank of its size. Today, they look after CHF 318 billion of total client assets (as of 30 June 2024).⁷

Lombard Odier has always been a pioneer of responsible investment and in 2019, it became the first global wealth and asset manager to be awarded B Corp certification, one of the world's most advanced corporate sustainability ratings. With a score of 98,8, it was well above the 80-point threshold to qualify. In 2023, after a reassessment, their score was upgraded to an impressive 111,2. This improvement is particularly noteworthy given that B Lab, the certifying organisation, has tightened its requirements over time.⁸

What is even more inspiring, is that Lombard Odier developed their own framework to rethink sustainability. They refer to this as the CLIC® model – one that is Circular, Lean, Inclusive and Clean. The CLIC® economy is one that puts us on a pathway to a zero-emissions, zero-waste economy, with a footprint contained within our environment's regenerative capacity, whilst still driving advances for our growing population.⁹

iii. Business as a Force for Good

For us, a business can be a force for good, as long as its purpose is not merely to make money but to serve the community and satisfy societal needs sustainably.¹⁰ The financial services sector, particularly wealth and asset management represents a unique case in this context, as their impact potential lies primarily in their investment decisions rather than their direct operations. The most significant issue is the indirect carbon footprint embedded in investment portfolios, as institutions finance carbon-intensive industries through their investments. Asset managers have recognised the importance of integrating sustainability factors into the decision-making process. Integrating such factors into financial analysis and risk management can lead to higher profitability, lower tail risk and lower systematic risk.¹¹

III. Analysis & Evaluation

i. Integration of B Impact Assessment

Since its initial certification in 2019, Lombard Odier integrated the results of its "B Impact Assessment" into the company's sustainability strategy. The following are specific improvements in the five B impact assessments aspects^{12 13}:

Governance: Lombard Odier embedded its ambition to have a positive impact in its articles of association and made its practices more transparent.

Workers: The company analyzed salary gaps between men and women, implementing internal checks to ensure fair treatment.

Community: Lombard Odier expanded its volunteer programs and developed a broader range of sustainable investment products for clients.

Environment: The company drew up an ambitious sustainable development roadmap to reach net-zero carbon emissions by 2030.

In 2023, they went through the recertification process. The new report was even more impressive, and their score was upgraded from 98,8 to 111,2. By comparing the company's two B Corp disclosure reports, we can see that there is a completely new section in the 2023 report¹⁴. It said Lombard Odier has not yet fully adopted ESG criteria in terms of client access, that is, it does not restrict clients that do not fully comply with its ESG policy. However, the group has imposed restrictions on clients in certain high AML (anti-money laundering) risk industries, which in some cases overlap with ESG principles. However, the latest complaint news in 2024 revealed some key issues, such as the gap between Lombard Odier's ESG policy and actual investment.¹⁵ This shows that its actual operations may not fully match its ESG commitments, or there are problems with insufficient implementation.

ii. The CLIC Framework

Lombard Odier prioritized its investments in firms and industries that solve global challenges causing global warming to reach the net-zero emissions goal by 2050.

*"Our actively managed Planetary Transition Strategy aims to invest in companies that we believe are positioned to grow in a carbon-constrained and carbon-damaged world, including those in hard-to-abate industries."*¹⁶

Circular: Lombard Odier decided to invest in firms that recycle their materials. The bank considers it as one of the best and most effective ways of limiting waste.

Lean: This framework promotes production efficiency, which is beneficial to the triple bottom line. Lombard Odier invests in firms adopting these practices to limit carbon emissions.

Inclusive: Lombard Odier also supports projects, movements, and firms that promote shared value opportunities in society, equal access to essential services, and inclusive practices that encourage everyone to have a role in the economy.

Clean: Lombard Odier supports firms with low carbon emissions, promotes green energy, and reduces environmental degradation while promoting renewable energy.¹⁷

iii. Partnership with the University of Oxford

Lombard Odier entered into a multi-year partnership with the University of Oxford to leverage its research and knowledge in sustainable investment and financing. The partnership is based on climate change, the circular economy, and nature. The company hopes to learn from Oxford's students' searches, findings, and analyses, to name but a few.

This partnership allows Lombard Odier to access data that are very important for their future projections. There is a big room in this collaboration where both the University of Oxford and Lombard Odier are developing an investment methodology called Implied Temperature Rise (ITR) to help analyze if an investment in a certain company is sustainable or not based on analysis from its metrics¹⁸.

iv. Impact of Investment Decisions

Lombard Odier assesses companies and projects they want to invest in to analyze their sustainability impacts, goals, and strategies they use through frameworks like EU Taxation by using its holistiQ Investment Partners platform.

Lombard Odier also complies with the Global Impact Investing Network (GIIN) framework to analyze if its investment will have a positive outcome on the environment and society overall, ensure its investment will generate profit, and provide transparency of metrics that will be used to define sustainable outcomes instead of basing on general benchmarks that might lead to greenwashing.¹⁹

v. Integrating Sustainability Factors

Lombard Odier has sustained its culture of incorporating sustainability since 1796 by participating in social support activities, refusing to invest in slave-related enterprises, and funding humanitarian organizations.²⁰

Another important factor is aligning with Global Economic Standards. The world of economy is transitioning into sustainability. This is a promising area not only in the market but also when it comes to policies whereby sustainability report is now closely as much as important as the financial report. The shift into market demand where sustainability is expected to provide financial opportunities globally is also an important aspect of Lombard Odier's long-term vision.²¹

vi. UN Principles for Responsible Banking

As a signatory to the six UN Principles of Responsible Banking (PRB) since 2020, Lombard Odier publishes a self-assessment report on its website. To understand and analyze how they position their sustainability practice, we reviewed their PRB Template. PRB is the UN environment programme's sustainable banking framework which has more than 345 signatories across the globe.²²

The first principle is alignment. It ensures the company aligns its business strategy with sustainable frameworks. Lombard Odier mentioned that it adheres to frameworks like SDGs, the Paris Climate Agreement, UN Global Compact principles, ESG, TCFD reporting and the UK Modern Slavery Act. It also contributed to the development of the Swiss Climate Scores. They support the EU's Sustainable Action Plan and they aim to reach net zero for their operations by 2030.²³

Their goals are not validated by Science Based Targets Initiatives (SBTi)²⁴, indicating a lack of credibility and transparency. Their sustainability report addresses the ESG practice of the clients however, it lacks detail on their practice.²⁵ It claims transparency in ESG practices and scores in the Transparency Report at the Principles for Responsible Investment (PRI). However, when we attempted to access the report, the page was unavailable, indicating an inconsistency with their sustainability report.²⁶ Further, they have not applied the TCFD to date, however, they stated to apply it from 2024, which is compulsory in Switzerland from 2024 onwards.²⁷ Their aim to reach net zero for Scope 1 emissions by 2030 has a less significant impact, as it accounts for only 13% of their total emissions.²⁸

The second principle is Impact and Target Setting. It ensures that the banks reduce negative impacts and risks towards the environment through their activities. Lombard Odier's impact areas are investment management business and discretionary investments of their private client business. According to their report, they do not have adequate data to analyse the impact. However, they have mentioned that their key focus is on energy, land & oceans, and materials systems.²⁹

They analyze the impact on energy systems using the Implied Temperature Rise tool and carbon footprint calculations. This does not fully capture the holistic impact. For land & oceans, they are in the process of developing new tools. For materials, the tool is still under development and currently understudied. The report indicates that Lombard Odier lacks comprehensive impact analysis and target setting. Once they have identified the impact and set targets, they should then develop a strategy to achieve these targets.

The third principle is Client and Customer. This principle suggests working responsibly with clients and customers and creating shared prosperity. Lombard Odier offers investment in companies with strong ESG practices and solutions like green bonds, social bonds and sustainability-linked bonds. They guide their clients to measure and integrate ESG in investment strategy. Furthermore, they provide educational opportunities to groups of clients while restricting them from investing in tobacco, coal and unconventional oil & gas, and level 5 controversies. Lombard Odier does not have a policy for the sector where they have identified the highest negative impacts. In the report, they stated that it is in progress.

The fourth principle is stakeholder which deals with the engagement with stakeholders to achieve societal goals. Lombard Odier has divided its stakeholders into 5 categories: academia & partners, peers, civil society, regulators and clients, employees & suppliers. They are actively involved with local, national and international regulatory and political authorities in promoting a sustainable framework.

According to the report, the firm is committed to continuous dialogue with clients, employees, and suppliers. However, they don't address and communicate the issues to the shareholders. For example, allegations by Greenpeace³⁰, the Adani group³¹ case or the recent case of money laundering³² have not been addressed by the company in any of its press releases or media.

The fifth principle is governance, which integrates effective governance and establishes a culture of responsible banking. Lombard Odier has divided its governance into two centres of responsibility: the Sustainability Steering Forum and the CSR Steering Forum.

Their two centres of governance consist of senior managers from different departments and they report to the Board of Managing Partners. They do not have any person on their Board who has expertise in sustainable practice.

The sixth principle is transparency and accountability. This principle states that there is a periodical review and implementation of these principles. According to the report, Lombard Odier discloses its sustainability report in accordance with the TCFD, the B-corp and the UN PRI framework.

Their PRB commitments have not been assured by an independent assurer, however, they plan to get it assured by an independent assurer in the 2024 report. Frameworks like TCFD, and UN PRI are not being utilized irrespective of their mention in the PRB report.

The report outlines their commitment to integrating sustainability into their business strategy. The report highlights their alignment with sustainable frameworks. However, it also identifies several areas for improvement, including the validation of their goals by SBTi, comprehensive impact analysis tools, and better data collection and reporting. The report emphasizes their efforts in offering sustainable investment options but notes gaps in policy development and stakeholder communication. The governance structure lacks expertise in sustainable practices, and there are inconsistencies in their transparency and accountability measures. Overall, while Lombard Odier has made significant strides, the report suggests that further enhancements are needed to fully realize its sustainability goals.

vii. Governing Structure Focused on Sustainability

Lombard Odier is a partnership, “owned by its Managing Partners,” and governed by six partners and 23 managing partners. This leadership style is meant to ensure stability and continuity since the bank argues most of its partners have worked with them for “decades”.³³ This argument may be disputed, as the structure lacks gender diversity (three of the managing partners are female) and not all partners have been working at the bank for decades (one female partner has been at the bank for a year). The recent addition of a female managing partner may explain the bank’s attempt to increase female representation at the highest level of management.

The bank argues that the core commitment of the partners is towards “sustainability”, which is described as a main reason for their long-term success.³⁴ Despite this claim, it is impossible to confirm whether this approach has always been adopted, as historical documents are not publicly available. For example, none of the six partners have a sustainability or CSR background (Table 1). And the use of concepts like “sustainability” may be a new communication strategy, meant to align the bank’s long-term vision with forecasted economic trends (focused on the environment) and attract customers interested in this topic.

Further, the bank argues it “embeds” sustainability “across all” “investment processes,” by creating a “clear sustainability governance” framework with its “two key centres of responsibility”: the Sustainability Steering Forum and the CSR Steering Forum.³⁵ Yet, Lombard Odier’s online content lacks transparency: it is impossible to detect a clear sustainability-focused governing structure or a global Chief Sustainability Officer.

To show the bank’s commitment towards sustainability, employees describe their functions using words like “sustainability” or “nature” (LinkedIn). For example, the role of the bank’s Chief Nature Officer (CNO), is focused on “connecting nature to finance”.³⁶ Lombard Odier argues that the CNO “must make the case for nature as our most precious asset” and that a shift towards sustainable practices and sustainable investments is expected to “unlock superior” financial “returns” for both the customers and the bank. The adoption of sustainability practices is perceived as a driver for increased profits.³⁷

Lombard Odier highlights their employees’ sustainability work by posting on social media about the environment-related events they attend.³⁸ For example, in November 2024, the bank’s CNO, who is also the CEO of the Circular Bioeconomy Alliance (CBA), gave a speech at St. James’s Palace, at the launch of the Alliance.³⁹ On LinkedIn and Instagram, Lombard Odier posted photos from this event, of their CNO with King Charles (Images 1 and 2). In one post (Image 2), Lombard Odier mentions the CNO as the Alliance’s CEO only in the third paragraph while in the introduction it depicts the bank as directly involved in an environment-related event with the King.⁴⁰ The bank posts photos taken at similar events to show its environment-related work, a behaviour which seems performative and misleading.

Lombard Odier's governance structure and their employees' titles are described using rhetoric emphasizing sustainability. Research shows that the sustainability image they craft for themselves is not entirely supported by data, and they should accomplish more sustainability and CSR-related work to "walk the talk."

viii. Sustainable Investment Strategies

Lombard Odier argues that because "the move to a Circular, Lean, Inclusive, Clean economy [...] is underway," a combination of "investor pressure, market forces, regulation, and consumer behaviour will disrupt the global economy." Focusing on "this transition" is a "significant investment opportunity and a driver of higher long-term returns."⁴¹ To capitalize on this financial opportunity, they help clients identify and invest in the companies that "are best positioned for the changes to come."⁴²

According to the bank, sustainable investments must generate a minimum of 30% of revenue from environmentally beneficial activities, while at the same time they may generate up to 5% of revenue from harmful sectors.⁴³ To help clients build sustainable investment portfolios, the bank suggests investments that prioritize Green Returns and Green Companies.⁴⁴ Clients are helped with their investment decisions by a team of six Lombard Odier employees, out of whom three have sustainability-related work experience, and it is unclear to whom the Head of CP Sustainable Investment reports (Image 3). And, to build individually tailored investment portfolios, clients fill out "onboarding" questionnaires that highlight their sustainability values (Image 4).

While the bank argues it offers a personalized approach to green finance and sustainable investment propositions to every customer, research shows it is difficult for clients to understand the value of sustainable investments and make informed choices because the explanations and descriptions they are provided with are long, employ confusing rhetoric, or show difficult to understand data.

ix. Communication, reporting and media engagement

Lombard Odier adopts various channels to engage effectively. Below, we listed the most relevant ones.

Annual Reports: Lombard Odier regularly publishes yearly reports (financial and sustainability) to keep all stakeholders updated. They also highlight changes on changes in the governance, operations, objectives, and even partnerships to name but a few.⁴⁵

Media engagement: Lombard Odier actively engages through press releases and articles to keep stakeholders updated on recent activities of the company. Its publication varies depending on ongoing activities.⁴⁶

Social media engagement: Lombard Odier uses its social media platforms, Facebook, LinkedIn, YouTube, and Instagram to engage with real-time updates. It covers diverse contents and topics for to brand itself but also for educational purposes.

Sponsoring/hosting events: Lombard Odier also engages with stakeholders through sponsoring or participating in ESG activities, re-NATURE Hub at COP28 and Building Bridges Summit for example, and uses those occasions to increase its visibility as well as gather data from participants.

47

x. Media Criticism and Response

Lombard Odier despite being a leading the sustainability sector in the banking industry, the company has been accused of a series of violations of which money laundering was the worst. It was accused of engaging in the process of money laundering of a criminal organization led by the daughter of a former Uzbekistan president late Karimov.⁴⁸

The company was accused of facilitating the opening of bank accounts for that organization to ease the process. The company responses was that all those accusations were political oriented since they appeared the day the company questioned Swiss authorities on suspicious activities in 2012. Lombard Odier promised to collaborate with authorities to make sure investigations are smooth.

IV. Conclusion & Recommendations

In the practice under the framework of the Principles of Responsible Banking, Lombard Odier promotes that its CS strategy is consistent with the six principles, but there are still deficiencies in the implementation, such as the goals' lack of scientificity and comprehensive data analysis and strong target-setting tools in response to this issue as well. It is recommended that Lombard Odier can refer to SBTi's target-setting method to clarify short-term, medium-term and long-term emission reduction paths, covering carbon emissions in operations, supply chains and investment portfolios.

In terms of sustainable communication and social responsibility, although Lombard Odier is committed to promoting its sustainable practices through various mediums, its image is still plagued by some communication issues. They can set up a dedicated crisis management team to promptly launch investigations into media questions, such as allegations of money laundering and investment in highly polluting companies. If problems are found, they should timely formulate and publicize improvement plans, such as adjusting investment portfolios or exiting controversial industries.

In terms of sustainable governance structure and inclusiveness, the company may lack executives with professional backgrounds in CSR and a transparent reporting mechanism within the company.

Lombard Odier can add a dedicated role like CSO to the senior management team to develop and oversee the company's sustainability strategy. This position should be held by an expert with extensive ESG experience who can report directly to the partners, and provide professional support to the governance level to ensure coordination and consistency among departments on sustainability issues.

Finally, Lombard Odier has integrated sustainability into its financial and risk management practices, but it has still been criticized for its investment in highly polluting industries. They can develop and publish clear transformation roadmaps for investments in highly polluting industries, with clear timelines and targets, such as gradually reducing investment in the fossil fuel industry and shifting funds to clean energy and green technology. Meanwhile, they can promote sustainable transformation in controversial industries through investment, such as requiring invested companies to set carbon reduction targets and regularly assess progress.

V. Future outlook for Lombard Odier and the industry

The future of the Responsible Banking industry will transform from "compliance-oriented" to "influence-oriented". As a pioneer in the field of responsible banking, Lombard Odier has the ambition and potential to forge ahead. The challenges and opportunities it faces are also the common problems and opportunities faced by most responsible banks today. The existing sustainable investment strategy in the grey area is low-hanging but toxic fruit, which is also a common problem in the current responsible banking industry. The future of responsible banking requires not only communication but also a verifiable and measurable commitment to sustainable development.

Annex

Table 1. Lombard Odier managing partners and their work focused on sustainability

No.	Name	LinkedIn profile and sustainability related work
1	Hubert Keller	Has a LinkedIn profile where it says he is “passionate” about Managing Partners, in the about section. He has no work experience linked to sustainability, besides the one he argues to have now at Lombard Odier.
2	Frédéric Rochat	Has a LinkedIn profile but nothing is mentioned on it about sustainability related work.
3	Denis Pittet	Has a LinkedIn profile, and in his professional profile on the Lombard Odier Profile there is no mention of the word sustainability. He is the president of Fondation Philanthropia.
4	Alexandre Zeller	Has a LinkedIn profile, and in his professional profile on the Lombard Odier Profile there is no mention of the word sustainability.
5	Jean-Pascal Porcherot	Has a LinkedIn profile but nothing is mentioned on it about sustainability related work.
6	Alexandre Meyer	Has a LinkedIn profile, and in the about section, he says that the bank’s “vision is to become the leading independent firm for sustainable investing.” He shows no clear work experience linked to sustainability, besides the one he claims to be doing now at Lombard Odier.

Image 1. Instagram Post: How can we accelerate the transition to a nature-first economy? (Lombard Odier London UK, November 22, 2023)



Image 2. LinkedIn Post: Having reached a “tipping point in human history” after 100 years of fossil-driven economic activity, how can we regenerate nature, our keystone asset? (Lombard Odier Investment Managers, December 2024)

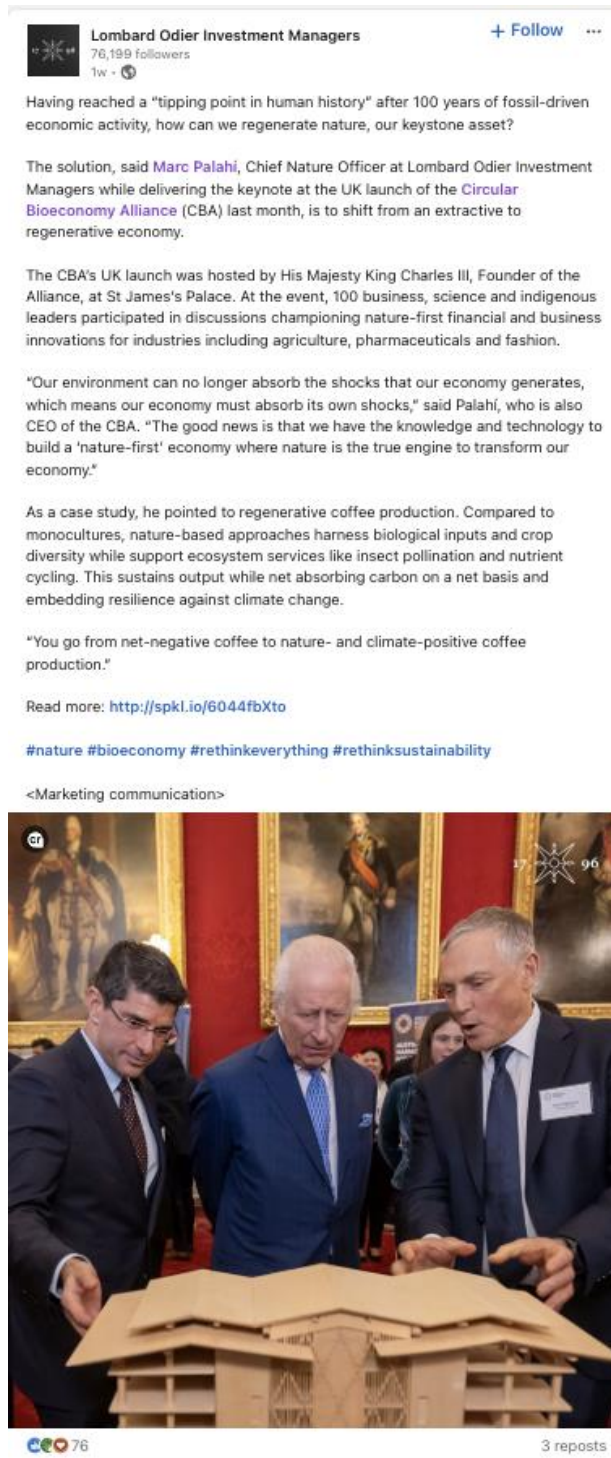


Image 3. IS Sustainable Investment Team (Lombard Odier, 2023, P. 37)

IS Sustainable Investment Team

A dedicated team of experts in both sustainability and portfolio management

17 96

 Sophie CHARDON Head of CP Sustainable Investment	• Almost 20 years in financial markets, mostly in macro/ asset allocation and portfolio construction • Enthusiastic abt accompanying our clients in the sustainability revolution thanks to robust investment solutions • Member of LO Investment Committee since 2014
 Nathalie CHANTECLAIR Business development	• 12 years as portfolio manager, strongly involved in sustainability • Passionate abt communicating on sustainability at LO and how we can implement it in client portfolios • assist bankers in all client-facing activities (pitches, bespoke solutions, product presentations,...)
 Florence KISS Impact expert	• 30 years experience in financial industry in different positions, mostly in Fixed Income • Sustainability and impact involvement happened via green bonds/microfinance (private debt) • Dedicated to impact, working with the front, the open architecture team to select funds and the research teams for stewardship
 Nathalie CERUTTI Sustainability Equity Analyst (S&M cap)	• 15 years sustainable equity research in investment banking with a cross sectorial coverage • SMID CLIC leader idea generation across Clean Energy, Energy Storage, Building Efficiency, Natural Capital, Materials and Waste Management • CIWM; SFA's Material ESG factors acc'nting Credential Holder
 Gaël COLCOMBET Sustainability Equity Analyst (S&M cap)	• 14 years equity research and investment banking experience covering different sectors • SMID CLIC leader idea generation across Energy, Electrification, Enablers and Food Systems. • CFA charterholder, CFA Certificate in ESG Investing. Joined from LOIM in Sept. 2022
 Sandra PIRES QUINTAS Portfolio Construction	• Experience in portfolio construction applied to wealth management • Passionate abt sustainability, I joined the team as Junior sustainability analyst in 2022 • Master degree in Finance at HEC – University of Lausanne

37

Image 4. Sample of Lombard Odier’s “onboarding questionnaire” meant to adapt each portfolio to their client’s sustainability focused values (Lombard Odier, 2023, P. 29)

Onboarding

How does the C.L.I.C. mandate fit into the new Suitability questionnaire?

17 96

G) Sustainability Preferences

14) How would you describe your interest for sustainability ?

A. ☐ I have a low interest for sustainability and I would like my portfolio(s) to be managed/advised without such orientation, although the portfolio(s) could include a few of these type of investments.

B. ☒ I have a particular interest for sustainability.

If you have chosen answer A, you may go directly to question 17. Your banker will discuss with you the respective investment offering.

If you have chosen answer B, you may continue answering the below questions.

15) Would you like your portfolio(s) to be invested pursuant to an investment strategy which promotes environmental characteristics and includes:

- Between 10% and 39% of sustainable investments as defined by SFDR* and
- Between 5% and 15% of environmentally and/or socially sustainable investments as defined by EU Taxonomy

A. ☒ Yes, I consider that the above proportions meet my sustainability preferences.

B. ☐ No, the above proportions do not meet my sustainability preferences.

If you have chosen answer A, you may go directly to question 17. Your banker will discuss with you the respective investment offering.

If you have chosen answer B, you may continue answering the below questions.

16) If neither of the above investment proposals meet your sustainability preferences, you may set below the minimum proportion of sustainable investments as defined by SFDR, as well as environmentally and/or socially sustainable investments as defined by EU Taxonomy you would like your portfolio(s) to include.

Important information: please note that your minimum proportions need to be compatible with your risk profile and may require a minimum amount of assets in the portfolio(s) as well as a distinct mandate. Your banker will discuss with you the investment strategy(ies) available.

A. Sustainable investments as defined by SFDR:

- ☐ Minimum 40%
- ☐ Minimum 60%
- ☐ Other : _____ (must be higher than the above listed percentages)

B. EU Taxonomy aligned investments :

- ☐ Minimum 20%
- ☐ Minimum 40%
- ☐ Other : _____ (must be higher than the above listed percentages)

Sustainability means investments with different level of ESG ambitions ranking from investments promoting such characteristics to sustainable investments.

A Sustainable investments is an investment in a company operating economic activities contributing to environmental or social objective, provided that these activities do not significantly harm any environmental or social objective and that the company follows good governance practices.

An EU taxonomy aligned investment is an investment in an EU Taxonomy eligible economic activity that is making a substantial contribution to at least one of the environmental objectives, while also not significantly harming the remaining objectives and the investee company is meeting minimum standards on human rights and labor standards.

The ex-ante disclosures of the CLIC mandate (SFDR 8 with min. 15% of Sustainable investment) are consistent with these answers

Only for Special Mandates with high interest for Sustainability

29

Reference

- ¹ Hayes, A. (2015, November 17). *Private banking vs. wealth management: Not quite the same*. Investopedia. Retrieved January 5, 2025, from <https://www.investopedia.com/articles/professionals/111715/private-banking-vs-wealth-management-not-quite-same.asp>
- ² ICLG. (n.d.). *ESG for asset managers: Environmental, social & governance law 2024*. Retrieved January 5, 2025, from <https://iclg.com/practice-areas/environmental-social-and-governance-law/03-esg-for-asset-managers>
- ³ ICLG. (n.d.). *ESG for asset managers: Environmental, social & governance law 2024*. Retrieved January 5, 2025, from <https://iclg.com/practice-areas/environmental-social-and-governance-law/03-esg-for-asset-managers>
- ⁴ Thomson Reuters. (n.d.). *ESG predictions for 2024*. Retrieved January 5, 2025, from <https://www.thomsonreuters.com/en-us/posts/esg/esg-predictions-2024/>
- ⁵ Lombard Odier. (n.d.). *History*. Retrieved January 5, 2025, from <https://www.lombardodier.com/home/about-us/history.html>
- ⁶ Lombard Odier. (n.d.). *La Maison*. Retrieved January 5, 2025, from <https://www.lombardodier.com/home/about-us/la-maison.html>
- ⁷ Lombard Odier. (2023). *Annual financial results 2023: Media release*. Retrieved January 5, 2025, from https://www.lombardodier.com/files/live/sites/loportal/files/Documents/MediaRelations/FinancialResults/2023/annual/MediaRelease_EN.pdf
- ⁸ B Lab. (n.d.). Lombard Odier. B Corporation. Retrieved January 5, 2025, from <https://www.bcorporation.net/en-us/find-a-b-corp/company/lombard-odier/>
- ⁹ Lombard Odier. (n.d.). CLIC: Circular, lean, inclusive, clean. Retrieved January 5, 2025, from <https://www.lombardodier.com/clic>
- ¹⁰ World Economic Forum. (2021, January). *How business can act as a force for good*. Retrieved January 5, 2025, from <https://www.weforum.org/agenda/2021/01/davos-agenda-how-business-can-act-as-a-force-for-good/>
- ¹¹ Asset Management Association Switzerland (AMAS) & Swiss Sustainable Finance (SSF). (n.d.). *Sustainable asset management: Key messages and recommendations*. Retrieved January 5, 2025, from <https://www.am-switzerland.ch/en/topics/sustainable-finance/publications/sustainable-asset-management-key-messages-and-recommendations-of-amas-and-ssf>
- ¹² Lombard Odier. (2024, January). *For Lombard Odier, being a sustainable B Corp is more than a label*. Retrieved December 5, 2024, from <https://www.lombardodier.com/contents/corporate-news/in-the-news/2024/january/for-lombard-odier-being-a-sustai.html>
- ¹³ B Lab. (n.d.). *Lombard Odier: Certified B Corporation profile*. Retrieved December 5, 2024, from <https://www.bcorporation.net/en-us/find-a-b-corp/company/lombard-odier/>
- ¹⁴ B Lab. (n.d.). *Lombard Odier B Corp certification report*. Retrieved December 5, 2024, from <https://s3.amazonaws.com/blab-impact-published-production/UqQxNZTVC4mcnXxx8w8rtfqJnygQukzl>
- ¹⁵ Toxic Bonds. (n.d.). *Lombard Odier B Corp complaint filed due to fossil fuel investments*. Retrieved December 5, 2024, from <https://toxicbonds.org/lombard-odier-b-corp-complaint-filed-due-to-fossil-fuel-investments/>
- ¹⁶ Lombard Odier Group. (2022). *Sustainability report 2022*. Retrieved from https://www.lombardodier.com/files/live/sites/loportal/files/csr/doc/SustainabilityReport_EN2022.pdf
- ¹⁷ Lombard Odier. (n.d.). *Rethink everything® campaigns | Lombard Odier*. Lombard Odier | Swiss Private Bank Since 1796. <https://www.lombardodier.com/home/about-us/our-positioning.html>
- ¹⁸ Lombard Odier. (n.d.). *Lombard Odier and the University of Oxford*. Lombard Odier | Swiss Private Bank Since 1796. <https://www.lombardodier.com/home/rethink-sustainability/university-of-oxford.html>

-
- ¹⁹ Lombard Odier. (2023, November 29). Impact investing: A promising opportunity for the future. Lombard Odier | Swiss Private Bank Since 1796. <https://www.lombardodier.com/contents/corporate-news/corporate/2023/november/impact-investing-a-promising-opp.html>
- ²⁰ Lombard Odier. (n.d.). Corporate sustainability. Lombard Odier | Swiss Private Bank Since 1796. <https://www.lombardodier.com/corporate-sustainability>
- ²¹ Lombard Odier. (2024, September 30). Unstoppable. Lombard Odier | Swiss Private Bank Since 1796. https://www.lombardodier.com/insights/2024/october/silencing-the-doubts-the-unstopp.html?gad_source=1&gclid=Cj0KCQiAvP-6BhDyARIsAJ3uv7YuLERIpW4cSovJL7hxt3Q7-tN1jdPrPo47TBdxBuiSGwIRUN2S0GgaAhQyEALw_wcB
- ²² United Nations Environment Programme Finance Initiative. (n.d.). *Principles for responsible banking*. Retrieved from <https://www.unepfi.org/banking/bankingprinciples/>
- ²³ Lombard Odier Group. (2023). *PRB reporting and self-assessment 2023*. Retrieved from https://www.lombardodier.com/files/live/sites/loportal/files/csr/doc/Lombard_Odier_Group_PRB_Reporting_and_Self-Assessment_2023.pdf
- ²⁴ Science Based Targets Initiative. (n.d.). *Companies taking action*. Retrieved from <https://sciencebasedtargets.org/companies-taking-action>
- ²⁵ Lombard Odier Group. (2022). *Sustainability report 2022*. Retrieved from https://www.lombardodier.com/files/live/sites/loportal/files/csr/doc/SustainabilityReport_EN2022.pdf
- ²⁶ United Nations Principles for Responsible Investment. (n.d.). *Lombard Odier*. Retrieved from <https://www.unpri.org/signatory-directory/lombard-odier/1429.article>
- ²⁷ finance.swiss. (n.d.). *Switzerland gets serious about mandatory climate reporting by large companies*. Retrieved December 15, 2024, from <https://finance.swiss/en/news-and-events/switzerland-gets-serious-about-mandatory-climate-reporting-by-large-companies/>
- ²⁸ Lombard Odier Group. (2022). *Sustainability report 2022*. Retrieved from https://www.lombardodier.com/files/live/sites/loportal/files/csr/doc/SustainabilityReport_EN2022.pdf
- ²⁹ Lombard Odier Group. (2023). *PRB reporting and self-assessment 2023*. Retrieved from https://www.lombardodier.com/files/live/sites/loportal/files/csr/doc/Lombard_Odier_Group_PRB_Reporting_and_Self-Assessment_2023.pdf
- ³⁰ Greenpeace Switzerland. (2024). *Active ownership: Driving corporate sustainability*. Retrieved from https://www.greenpeace.ch/static/planet4-switzerland-stateless/2024/03/b85c09ba-240313_activeownership_en.pdf
- ³¹ Business Standard. (2024). *Robeco, Lombard Odier among buyers of new Adani Green Energy's bond sale*. Retrieved from https://www.business-standard.com/companies/news/robeco-lombard-odier-among-buyers-of-new-adani-green-energy-s-bond-sale-124032800099_1.html
- ³² Swissinfo. (November 29, 2024). *Private bank Lombard Odier charged with serious money laundering*. Retrieved from <https://www.swissinfo.ch/eng/banking-fintech/private-bank-lombard-odier-charged-with-serious-money-laundering/88381122>
- ³³ Lombard Odier. (n.d.-a). *Who we are*. Retrieved December 23, 2024, from <https://www.lombardodier.com/home/about-us/la-maison.html>
- ³⁴ Lombard Odier. (n.d.-a). *Who we are*. Retrieved December 23, 2024, from <https://www.lombardodier.com/home/about-us/la-maison.html>
- ³⁵ Lombard Odier. (n.d.-b). *Corporate sustainability*. Retrieved December 24, 2024, from <https://www.lombardodier.com/corporate-sustainability>
- ³⁶ Lombard Odier. (2023). *C.L.I.C. mandate portfolio construction*. Retrieved December 17, 2024, from <https://www.lombardodier.com/clic>
- ³⁷ Lombard Odier. (2023). *C.L.I.C. mandate portfolio construction*. Retrieved December 17, 2024, from <https://www.lombardodier.com/clic>
- ³⁸ Lombard Odier Investment Managers. (2024, December). *Having reached a “tipping point in human history” after 100 years of fossil-driven economic activity, how can we regenerate nature, our keystone asset?* [Image attached in annex]. LinkedIn. Retrieved December 23, 2024, from <https://www.linkedin.com/company/lombard-odier-investment-managers/posts/>; Lombard Odier London

UK. (2024, November 22). *How can we accelerate the transition to a nature-first economy?* [Image attached in annex]. Instagram. Retrieved December 23, 2024, from <https://www.instagram.com/p/DCrhbXRojHI/>

³⁹ Circular Bioeconomy Alliance. (2024, November 22). *CBA launch calls for transition to nature-first economy*. Retrieved December 23, 2024, from <https://circularbioeconomyalliance.org/cba-launch-calls-for-transition-to-nature-first-economy/>

⁴⁰ Circular Bioeconomy Alliance. (n.d.). *Founder members*. Retrieved December 23, 2024, from <https://circularbioeconomyalliance.org/members/founder-members/>

⁴¹ Lombard Odier. (n.d.-c). *Sustainable investing*. Retrieved December 24, 2024, from <https://www.lombardodier.com/home/rethink-sustainability/sustainable-investing.html>

⁴² Lombard Odier. (n.d.-c). *Sustainable investing*. Retrieved December 24, 2024, from <https://www.lombardodier.com/home/rethink-sustainability/sustainable-investing.html>

⁴³ Lombard Odier. (2023). *C.L.I.C. mandate portfolio construction*. P. 6. Retrieved December 17, 2024, from <https://www.lombardodier.com/clic>

⁴⁴ Lombard Odier. (2023). *C.L.I.C. mandate portfolio construction*. P. 2. Retrieved December 17, 2024, from <https://www.lombardodier.com/clic>

⁴⁵ Lombard Odier. (n.d.). Press and media relations. Lombard Odier | Swiss Private Bank Since 1796. <https://www.lombardodier.com/home/press.html>

⁴⁶ Lombard Odier. (n.d.). Insights. Lombard Odier | Swiss Private Bank Since 1796. <https://www.lombardodier.com/home/insights.html?categories=media-releases>

⁴⁷ Lombard Odier [lombardodier]. (2024, December 5). https://www.instagram.com/lombardodier/p/DDNCfq7gXMJ/?img_index=1

⁴⁸ McGachey, K. (2024, November 29). Fnlonon.com. [fnlonon.com. https://www.fnlonon.com/articles/lombard-odier-charged-with-aggravated-money-laundering-a625a22b](https://www.fnlonon.com/articles/lombard-odier-charged-with-aggravated-money-laundering-a625a22b)